reported the same problems (soft lumber prices) and weak results. Look for which stock turns down first, and see what happened the last time they all dipped (perhaps during the same month in prior years: Seasonality).

Stop location. Table 30.7 can help you determine where to place a stop to avoid it being hit while still doing its job to protect your assets. Be sure to change the potential loss into a percentage of the current price to see if the loss is reasonable. If it's not (a stop placed 8% away is common), then select a different location. Don't put it so close that you are guaranteed of being stopped out. A volatility stop can help you decide (see the Glossary).

One person emailed me saying he used a stop that was like 1% away. He was being stopped out for small losses continually. No kidding! He wasn't able to tolerate a larger loss. Don't fall into that trap. Be sensible with stop placement.

Table 30.11 shows special features of the Adam & Adam double top.

Top-to-top variation. Does the price variation between tops suggest better performance after the breakout? Yes! If there's a large variation (more than the median 1%), then performance improves in the double tops I looked at. And the performance differences are wide enough to pay attention to.

Table 30.11 Special Features

Trading Tactic	Performance
Small top-to-top variation	13%
Large variation	17%
Median top-to-top variation	1%
Lower left top	15%
Lower right top	16%

Lower top. This measure is a letdown. The performance difference between which top is lower doesn't make a big performance splash: Just one percentage point. Yawn. A lower right top showing better performance makes sense to me. Why? It tells me the situation is especially weak, that price can't even make it up to the old high.